TOPIC 1 · THE GLOBAL ECONOMY

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Democrats take Congress – but America's tariffs are likely to stay

> Voters punished President Trump over the cost of living in the US midterms. Trade lawyers say that doesn't mean the tariff wall comes down: the powers Trump now uses don't need Congress to sign off each year.

WHAT HAPPENED

- Democrats won both houses on 3 November (US time). Early counts had them ahead 251–155 in the House and 54–44 in the Senate, with some seats still to be called.
- In February the Supreme Court ruled that the emergency powers law (IEEPA) does not allow tariffs. Since then the administration has used Sections 122, 232, 301 and, for the first time, Section 338.
- Any bill to roll tariffs back could be vetoed. Overriding a veto needs two-thirds of the Senate, so some Republicans would have to join in.
- Expect hearings, subpoenas and oversight rather than repeal. Tariffs on China and on 'unfair trade' have support from both parties.
- Firms are being advised to plan for tariffs staying high, and to expect a push for tighter export controls on chips and AI.

251–155
Early House count, Democrats v Republicans (AFR tally, 6 Nov)

54–44
Early Senate count, with 2 seats still to be called

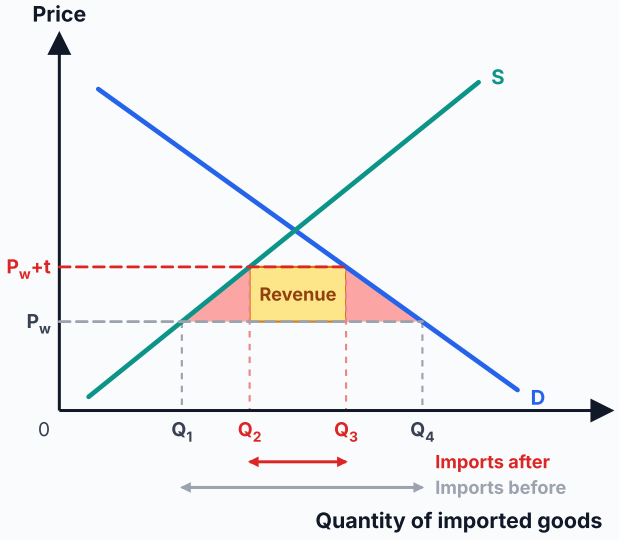
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Senate majority needed to override a presidential veto

Protection: government measures that shield domestic producers from import competition

Tariff: a tax on imports that raises their domestic price

DIAGRAM

What a tariff does to a market for imported goods



A tariff lifts the domestic price from P_w to P_w+t. Domestic output rises from Q_1 to Q_2, consumption falls from Q_4 to Q_3, and imports shrink to Q_2–Q_3.

Consumers lose. **Domestic producers** and the **government** (the revenue box) gain. The red triangles are **deadweight loss**. This is the cost-of-living effect that US voters reacted against.

Exam angle: Use the midterms as evidence that protection has **political as well as economic costs**. Then explain why the tariffs persist anyway (legal authority, veto, bipartisan support on China).

SYLLABUS LINK

Topic 1 – Protectionism: reasons for and effects of protection; the political economy of trade policy in major economies.

TRY THIS

1. Using a tariff diagram, explain who gains and who loses from a US tariff on imported goods. **(6 marks)**
2. Explain why US protection could stay high even after the midterm result. **(4 marks)**

Read more: sanctionsnews.bakermckenzie.com – 2026 US midterm election results: trade issues · abc.net.au/news – US midterm elections 2026 live (4 Nov)

Summary written in our own words for classroom use